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Sea (SE.N)

Our Take on CEO Letter: Monee Spin-Off & Sea Cloud Ambitions

CITI'S TAKE

Sea's Oct 20 6-K filing highlights two strategic milestones: 1) a planned standalone IPO for fintech arm Monee; and 2) the commercial rollout of Sea Cloud, an AI-first enterprise platform. We view Monee's prospective listing as a natural, expected progression as we believe independent listing provides dedicated capital to accelerate product rollouts and geographic expansion beyond Shopee's footprint. While the timing of the IPO was not disclosed, we believe it might take some time given current market conditions. In contrast, the announcement of Sea Cloud comes as a surprise. While externalizing internal infrastructure mirrors Alibaba Cloud and other hyperscalers' historical playbook, scaling an AI enterprise cloud requires heavy capex that could drag group margins. Despite Sea's sound balance sheet and steadily growing profit from three core businesses, aggressive cloud expansion could weigh on organic cash flow. We look to the upcoming 3Q26 earnings call for management's capex and roadmap guidance.

Buy	
Price (20 Oct 26 16:00)	US$80.43
Target price	US$176.00
Expected share price return	118.8%
Expected dividend yield	0.0%
Expected total return	118.8%
Market Cap	US$45,600M

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What's new? — Sea filed a 6K before US market open on Oct 20, stating that as Sea celebrated the 9th anniversary of its IPO, Chairman and CEO Forrest Li sent an email (employee letter) to all Sea employees highlighting: 1) its fintech segment Monee is approaching the point that it is ready to go public on its own; and 2) its proprietary self-built cloud business is ready to offer the capability to external customers as Sea Cloud.

Our thoughts on proposed IPO for Monee — The announced plan to list Monee comes as little surprise to us, as management has previously hinted at such intentions during informal discussions. As highlighted in the CEO's letter, "going public could give Monee the resources and the room to go further and faster than it can today." It achieved EBITDA profitability in 4Q22. In our view, a standalone public listing would enable Monee to raise dedicated capital, aggressively roll out new financial products, and deepen market penetration across its existing footprint. Furthermore, greater operational independence could empower Monee to expand beyond Shopee's core markets and leverage its independent equity currency and valuation to secure additional digital banking and lending licenses across new jurisdictions.

Sea Cloud — Per the employee letter, Sea Cloud is an AI-first enterprise cloud platform built on more than a decade of proven infrastructure powering Sea's three core businesses: Garena, Shopee, and Monee. Re-engineered over the last two years by approximately 500 engineers to streamline AI application deployment, the platform is now being offered to external businesses. It leverages Sea's extensive

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operating experience running mission-critical consumer infrastructure at massive scale to support the next generation of AI workloads.

Our thoughts on Sea Cloud — The launch of Sea Cloud as a new business segment came as an unexpected development for us. The move closely resembles the path taken by Alibaba Cloud and other hyperscalers, which initially built infrastructure for internal workloads before commercializing spare capacity. While this is a natural strategic evolution, building a competitive AI enterprise cloud platform entails significant capex that could weigh on group-level profitability. We anticipate management will provide further clarity on the roadmap and capex commitments for Sea Cloud during the upcoming 3Q26 earnings call. As of June 30, 2026, Sea held net cash of US$7.8bn, and we forecast FY26 group EBITDA of US$3.9bn. However, should Sea Cloud scale aggressively, existing cash reserves and organic cash flow from core businesses may face funding constraints without external financing or disciplined capital allocation, in our view.

Sea

Valuation

Since Sea operates three distinct business segments – online games, ecommerce, and payment services – we believe using a sum-of-the-parts (SOTP) approach is an appropriate valuation methodology. Our target price of US$176 is derived from a combination of: 1) US$27.6 per share for the digital entertainment (Garena) business based on a 15x target 2027E PE multiple, which is set at about 25% discount to global comps; 2) US$94.4 per share for the ecommerce Shopee business based on a 16% normalized take rate and a 2.0x 2027E P/S multiple, at around 25% discount to global marketplace ecommerce peers; 3) a combined US$54 per share for digital financial services (based on a P/B discount to peers reflecting a flattish margins outlook and the division's reinvestment phase) and discounted net cash per share as of 2Q26.

Risks

Key downside risks that could prevent the shares from reaching our target price include: 1) Shopee continuing to lose market share in ecommerce market and subsidies failing to regain growth; 2) Shopee's loss is bigger and extends for a longer period than we expected; 3) weaker-than-expected performance of F*ree Fire*; and 4) a changing regulatory environment, the challenges of operating in seven regulatory jurisdictions, and political risks.

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Appendix A-1

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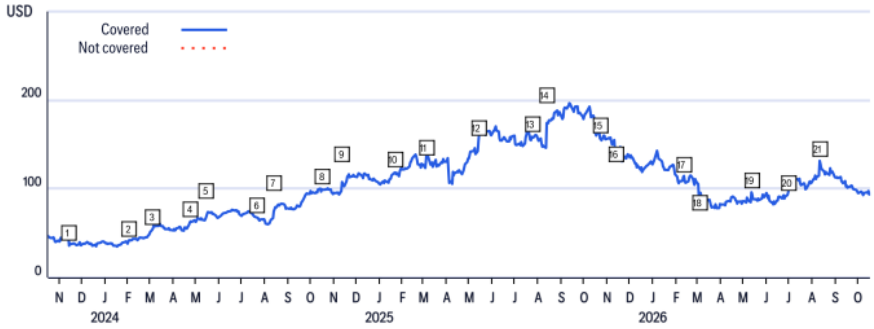
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Sea (SE)

Ratings and Target Price History
Fundamental Research

Analyst: Alicia Yap, CFA



	Date	Rating	Target Price	Closing Price
1	14-Nov-23 17:33:29	2H	*44.00	35.87
2	01-Feb-24 13:51:56	*1H	*50.00	40.47
3	04-Mar-24 17:29:21	*1	*66.00	53.90
4	24-Apr-24 07:43:23	1	*76.00	63.27
5	14-May-24 20:12:34	1	*81.00	66.26
6	22-Jul-24 08:19:03	1	*80.00	67.47
7	13-Aug-24 19:00:19	1	*90.00	74.85
8	16-Oct-24 10:36:04	1	*113.00	99.37
9	12-Nov-24 16:53:28	1	*128.00	107.65
10	22-Jan-25 10:05:54	1	*140.00	118.36
11	04-Mar-25 16:48:47	1	*157.00	132.31
12	13-May-25 19:21:03	1	*182.00	154.13
13	23-Jul-25 10:49:59	1	*183.00	158.57
14	12-Aug-25 17:12:20	1	*206.00	174.12
15	22-Oct-25 09:24:49	1	*203.00	156.74
16	11-Nov-25 16:57:40	1	*200.00	142.31
17	10-Feb-26 07:31:33	1	*184.00	113.33
18	03-Mar-26 17:25:19	1	*151.00	87.82
19	12-May-26 18:44:27	1	*165.00	96.02
20	29-Jun-26 13:50:00	1	*162.00	92.95
21	11-Aug-26 18:17:01	1	*176.00	131.51

*Indicates Change

Rating/target price changes above reflect Eastern Time

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